1. Leadership

1.1. The Qualities of Successful Leaders and Positions

Leadership is the art of motivating a group of people towards achieving a common objective.

Qualities of a successful leader:

- A strong drive to succeed, coupled with the self-assurance to believe in their success.
- The ability to think creatively, go beyond conventional ideas, and inspire others to do the same.
- Multi-skilled, capable of engaging in discussions on a broad range of topics impacting their business.
- A sharp intellect that focuses on the core of an issue, avoiding unnecessary details.
- The ability to inspire others, motivating them to follow their lead and contribute to their success.
- Unwavering honesty, integrity, and a commitment to the highest ethical principles.
- Effective communication skills, ensuring their passion and vision resonate with employees.
- Empathy and emotional intelligence, allowing them to connect with and understand their team members better.

Important Positions in a Company:

Directors:

- Elected by shareholders in a limited company.
- They lead major departments like marketing or finance.
- Directors delegate tasks and assist in hiring senior staff.

  They ensure departmental goals set by the board are met.
- They communicate objectives effectively to their teams.

Managers:

- Managers oversee people, resources, and decision-making.
- They hold authority over lower-level employees.
- They are direct, motivate, and recognize workers.
- They handle disciplinary actions when necessary.

Supervisors:

- Appointed to oversee work but with limited decision-making power.
- Lead teams toward pre-set goals.
- Act as supportive colleagues rather than inspectors.
- Encourage cooperation to help employees meet objectives.

Workers' Representatives:

- Elected by employees as trade union officials or works council members.
- Serve as intermediaries between workers and management.
- Address employee concerns and advocate for their interests.

1.2. What is a Informal Leader?

A person who has no formal authority but has the respect of colleagues due to experience, personality or expertise and has greater support than formal leaders.

Consequences of Different Reaction of Management to Informal Leaders:

- Appointing Them as Leaders: It can be effective. However, the informal leader risks losing worker support if seen as siding with management.
- Ignoring Them: It can lead to disruptions or industrial action due to their strong employee backing.
- Working with Informal Leaders: It might help the firm because the informal leader's influence can ensure that employees' work aligns with business goals better. It fosters cooperation between management and staff.
- Avoiding Isolation: Managers should not diminish their influence by reassigning them or cutting them off from colleagues.

1.3. Theories of Leadership

Great Person Theory

- Leadership is a natural ability that can not be taught.
- Some people are born with traits like confidence, intelligence, charisma, and strong communication skills that make them good leaders.
- Leaders are seen as smart, heroic, and naturally ready to take charge when needed.

Trait Theory

- It believes people are born with leadership traits.
- Some people naturally have the right personality and skills to become leaders.
- Strong supporters of this theory think leadership traits cannot be

  learned, they are part of a person's nature.

Common Leadership Traits:

- Taking initiative
- Determination and high energy
- Good judgment and decision-making skills
- Flexibility and adaptability
- Creativity and innovative thinking
- Charisma and strong personal presence
- Emotional intelligence and understanding others

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- Motivation and drive to succeed
- Confidence, honesty, and integrity

How can this theory help?

This theory is often used to predict if someone will be a good leader.

Potential leaders are compared to successful ones to see if they have the same traits.

Modern society view on Trait Theory:

- Some leadership traits can be natural, while others can be learned.
- Skills like flexibility and decision-making can be developed over time.
- Learning and improving these traits can enhance leadership potential.

Behavioral Theory

- It believes leadership skills can be learned, not just inherited.
- It focuses on studying leaders' actions rather than their inborn traits.
- Leadership effectiveness is measured by observing behaviors and their impact on success.
- A leader's behavior directly affects business performance.
- The best leaders adapt their style to fit different situations.

There are three sets of skills for leadership:

- Technical skills – Understanding business processes and techniques.
- Human skills – Interacting effectively with people.
- Conceptual skills – Developing new ideas and solving problems.

Effective Leadership Behavior:

- Setting clear goals.
- Motivating employees to achieve objectives.
- Communicating effectively.
- Building strong relationships and teamwork.

Contingency Theory:

- Leaders must adapt their leadership style to different situations.
- A style that worked before may not be effective in a new situation.
- Some leaders struggle to change their approach, which can lead to business failure.

Factors Influencing Leadership Approach:

- Level of experience and maturity of subordinates: Skilled and mature employees require a more relaxed leadership style.
- Leader-Follower Relationship: A positive relationship makes teamwork and collaboration easier.
- Time constraint for task completion: Tight deadlines may require a more directive leadership approach.
- Leader's Authority Level: Higher authority can motivate employees to meet expectations.

Power and Influence Theories

- Leadership depends on how leaders use power and influence to guide subordinates.
- There are two types of theory which focuses on Power and Influence:

French & Raven's Theory

It identifies two sources of personal power:

- Expert Knowledge: Leaders with strong expertise gain more influence.
- Charm of The Leader: Leaders with strong appeal attract willing followers.
- Additionally, A leader's formal position in a company also gives them authority over employees.

Transactional Leadership

- Employees work in exchange for rewards (e.g., salary, bonuses).
- Leaders give clear instructions and manage through rewards & punishments.
- Successful task completion leads to rewards, while failure results in penalties.
- Used when deadlines are tight and meeting objectives is critical.
- Most leaders use this approach when necessary, even if they prefer other styles.

Transformational Leadership

- It focuses on leading rather than just managing workers.
- Most effective during times of significant change in a business.
- It aims to transform the company culture for better performance.
- Transformational Leadership puts emphasis on employee satisfaction, motivation, and productivity.

Key Features:

- Charisma: It influences and inspires subordinates.
- Vision: Leaders motivates employees to achieve long-term goals.
- Stimulation: It creates a dynamic work environment with new challenges.

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- Personal Support: An understanding leader who ensures to meet individual employee needs.

Summary of Leadership Theories:

- Leaders should explore various leadership theories to shape their own approach.
- Leaders should set a positive example through integrity, effective communication, and emotional understanding.
- They Combine emotional intelligence with the ability to make informed decisions.
- They must be flexible/adaptable and adjust leadership style to different situations.

By applying these behaviors, any leader can become great.

1.4. Emotional Intelligence (EI)

The ability to understand one's own emotions, and those of others, to achieve better business performance.

Key Features of EI:

- Self-awareness: Understanding your own emotions, goals, and behavior.
- Empathy: Recognizing and understanding others' feelings.

Why EI is essential for great leadership:

- It helps leaders connect better with people.
- It improves decision-making and team management.
- Higher emotional quotient (EQ) is linked to better business performance.
- Leaders with high EI can be more effective than those with just high IQ.

Emotional Quotient (EQ): the level of a person's emotional intelligence as recorded in a standardized test.

Goleman's 4 main competencies for development of Emotional Intelligence:

- Self-Awareness: Understanding one's emotions, abilities, and self-confidence.
- Self-Management: Managing stress, staying trustworthy, showing initiative, and maintaining self-control.
- Social Awareness: Recognizing others' emotions, considering their views, and interacting well with diverse people.
- Social Skills: Handling emotions in relationships, understanding social dynamics, and using skills to persuade, negotiate, and lead.

Challenges of Managers with Low EI:

- Taking tasks beyond their abilities: Lack confidence to succeed.
- Struggle with stress: Become unapproachable and untrustworthy.
- Autocratic: Make decisions without considering different perspectives.
- Poor social skills: Face difficulties in communication, negotiation, and team-building.

The ultimate impact of such managers with low EI is low motivation, poor performance, and weak leadership.

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